



MEMO FOR BROKERS – 2012-06

To : All Trading Participants

Subject : Reminder on compliance with CMIC Rules Article XI-B, Section 8 (Responsibilities of Trading Participants in Executing Orders to Avoid Market Manipulation)

Date : 20 June 2012

Trading Participants ("TPs") are reminded to comply with Article XI-B, Section 8 of the CMIC Rules, which explains the responsibilities of TPs in executing orders to avoid possible market manipulation. The said provision states as follows:

"Section 8. Responsibilities by Trading Participants in Executing Orders to Avoid Market Manipulation. It shall be unlawful for any Trading Participant, associated person or salesman of a Trading Participant (hereinafter collectively referred to as "Registered Person") to make a bid or offer for, or deal in securities, for the account of the Registered Person or any other person where the Registered Person intends to create or taking into account the circumstances of the order, the Registered Person reasonably suspects that a person has placed the order with the intention of creating a false or misleading appearance of active trading in any security or with respect to the market for, or the price of, any security.

If the Trading-Participant reasonably suspects a violation of the preceding paragraph, the trading participant shall inform CMIC in writing of such possible violation within twenty (24) hours. Failure to notify CMIC shall raise the presumption that the Trading Participant is engaged in manipulative activity.

In considering whether an order violates Section 24 of the Securities Regulation Code, a Trading Participant shall consider:

- (a) Whether the order, or execution of the order, would , materially alter the market for, and/or the price of, the securities;
- (b) The time the order is entered or any instructions concerning the time of entry of the order;

- (c) Whether the person on whose behalf the order is placed, or another person who the Trading Participant knows to be a related party of that person, may have an interest in creating
- (d) Whether the order is accompanied by settlement, delivery or security arrangements which are unusual;
- (e) Whether the order appears to be part of a series of orders, whether when put together with orders which appear to make up the series, the order or the series is unusual having regard to the matters referred to in this paragraph 3; and
- (f) Whether there appears to be a legitimate commercial reason for that person placing the order, unrelated to an intention to create a false or misleading appearance of active trading in or with respect to the market for, or price of, any security.

Failure to consider these factors shall raise a presumption that a transaction/s is manipulative.

Obligations imposed on Registered Persons under this Rule apply in respect of all orders, irrespective of the trading system used."

Please note that this provision was adopted verbatim by the CMIC Rules from Article X-B, Section 8 of the Amended Market Regulation Rules.



ANTONIO GARCIA, JR.

President and Chief Executive Officer